

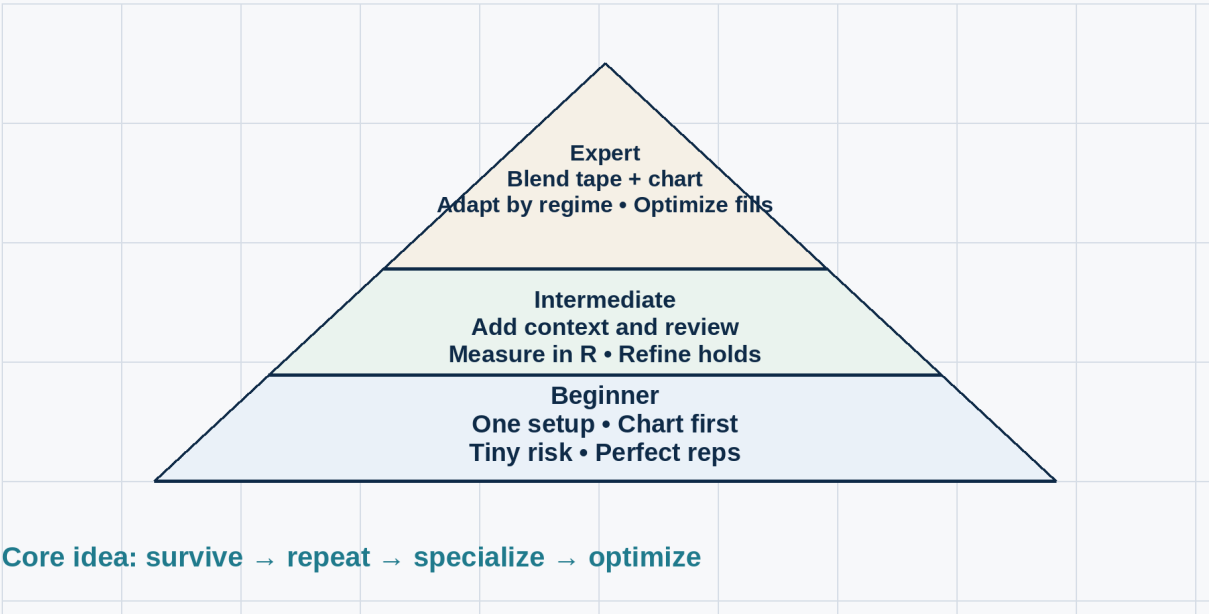
Scalping Trader Development Framework

Comprehensive outline and training guide for beginner, intermediate, and expert intraday traders

Beginner	Intermediate	Expert
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Trader Development Pyramid

The fastest path is narrow first: one setup, one risk model, then progressively richer context and execution.



1. Narrow first Master one named setup before adding new patterns.	2. Risk defines the trade Predefine stop distance, size, and daily max loss before entry.	3. Review creates edge Every trade should be taggable, measurable, and improvable.
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Educational note. This manual is a training framework. It is not investment advice, a signal service, or a promise of profitability. Intraday trading is high risk and requires verified broker, jurisdiction, tax, and compliance awareness.

How to use this framework

- Read the TL;DR box first in every section, then use the level lens to focus only on the material that matches your current stage.
- Do not try to master every setup family at once. Progress is usually faster when you become excellent at one repeatable pattern and one risk model.
- Treat the illustrations as memory aids, not as mechanical signals. The chart shape matters only when it lines up with context, liquidity, and a preplanned exit.
- Keep the glossary and checklist sections nearby during live trading. They are designed to reduce impulsive decisions and make your review process cleaner.

Recommended learning order. Start with Sections 1–4, then pick one setup family from Sections 5–8, then build the execution, risk, management, and review process from Sections 9–16.

Quick map of the manual

Foundations • 1. TL;DR operating card • 2. What scalping is (and is not) • 3. Market context and stock selection • 4. The 7-step scalping loop Setup architecture • 5. Setup map and taxonomy • 6. Imbalance / reversion • 7. Breakout / momentum • 8. Continuation / pullback	Execution and risk • 9. Tape reading, Level II, and order execution • 10. Risk management and position sizing • 11. Trade management and exit logic Development and review • 12. Psychology and bias control • 13. Playbook, journaling, and metrics • 14. 30 / 60 / 90-day roadmap • 15. Daily checklists and kill-switches • 16. Glossary and references
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1. TL;DR Operating Card

TL;DR. A professional scalp is a small, named trade taken in an instrument in play, with a defined setup family, a precise trigger, a preplanned stop, a fixed risk amount, and a review tag. If any of those pieces is missing, the trade is not ready.

Level lens

Beginner	Intermediate	Expert
• Win by surviving. The goal is clean reps, not a huge P&L day. • Trade one setup family only until entries and stops are repeatable. • Use tiny size so emotion cannot force you out of process.	• Start measuring every trade in R, not dollars. • Separate A, B, and feeler trades so risk tiers are consistent. • Add context only after your baseline setup is stable.	• Adapt aggression by regime, liquidity, and time of day. • Optimize order choice, scaling, and inventory management. • Protect edge by avoiding low-quality conditions, not by forcing more volume.

The operating sequence

- Context: What market regime am I in? Trend day, rotational chop, news-driven squeeze, or thin midday drift?
- Selection: Why is this instrument worth trading now? Catalyst, relative volume, clean levels, and tradable spread.
- Setup: Which family fits the chart? Imbalance / reversion, breakout / momentum, or continuation / pullback.
- Trigger: What exact event gets me in? A reclaim, break, first hold, trendline re-acceleration, or tape confirmation.
- Risk: Where is the stop, how many dollars am I risking, and how much size does that allow?
- Execution + management: What order type am I using, where is first scale, and what invalidates the trade before target?
- Review: How will this trade be tagged, measured, and compared against my playbook?

Six rules worth memorizing

Rule	What it means in practice
Name the setup	If you cannot label the family and trigger in one sentence, pass.
Risk before entry	Define stop distance and size before you click, not after you feel pressure.
Trade the cleanest part	Opening drive, first pullback, and first re-acceleration usually beat late chasing.
Take the best evidence	Catalyst + liquidity + level + trigger is better than opinion alone.
Preserve mental capital	A good stop keeps the next trade available. Revenge trading destroys the day.
Review the same day	Screenshots, tags, and notes compound much faster than memory.

Mini checklist before every entry

- What is the setup name?
- What is my exact stop?
- How much am I risking in dollars and in R?
- Where is my first scale or failure exit?
- What would immediately prove me wrong?

2. What Scalping Is (and Is Not)

TL;DR. Scalping means trying to capture a fast move that should resolve in seconds or minutes, not in hours. It can be chart-based or tape-based, but in either case the edge comes from quick recognition, tight risk, and repeatable execution.

Level lens

Beginner	Intermediate	Expert
• Chart-based scalping is usually the best starting point because the patterns are easier to define and review. • Aim for clarity, not speed. You can trade slowly inside a fast setup as long as the rules are explicit. • Do not confuse activity with skill. More clicks do not equal more edge.	• Differentiate between a true scalp, a failed swing idea, and a random reaction trade. • Track where your edge actually lives: opening range breaks, first pullbacks, reclaims, or tape imbalances. • Measure whether your holding period matches the setup intent.	• Blend chart structure with order-flow evidence without letting tape noise override the primary thesis. • Know when not to scalp: halts, broken spreads, headline chaos, and liquidity vacuums can invalidate normal assumptions. • Exploit repeatable high-probability moments instead of trying to predict every micro-move.

Core definition

- A scalp expects price to move quickly after entry, usually within seconds or minutes.
- The stop is close enough that position size can be calculated from a small, fixed dollar risk amount.
- Profit usually comes from exploiting a temporary imbalance, break, or continuation rather than forecasting a full-day move.
- Scalping can be done from chart structure alone or with a higher emphasis on tape and Level II.

What scalping is not

- Not random clicking because the chart is moving fast.
- Not averaging down into a loss because “it is just a scalp.”
- Not turning a bad entry into a forced swing trade when the stop should have been honored.
- Not overtrading thin, spread-heavy midday action out of boredom.
- Not proof that a trader can ignore costs such as spread, commissions, fees, and slippage.

Advantages and trade-offs

Potential advantages	Trade-offs and hazards
Many repetitions, faster feedback, and more opportunities to practice a specific edge.	Noise is high, execution mistakes are punished immediately, and costs matter more.
Tighter stops can create attractive reward-to-risk profiles when the pattern is clean.	Small stop distance can tempt traders to oversize.
The trader can go flat frequently and reduce overnight risk.	Emotional fatigue and decision overload can build quickly.
A good scalp process can raise execution skill across all styles.	Without a playbook, scalping can become reactive and chaotic.

3. Market Context and Stock Selection

TL;DR. Most bad scalps are not bad patterns; they are bad context. Start with instruments in play, clear liquidity,

and time-of-day awareness. Quality changes during the session, so position size and aggression should change too.

Level lens

Beginner	Intermediate	Expert
• Trade only one to three highly liquid instruments at a time. • Prioritize obvious catalysts, tight spreads, and clean levels over exotic symbols. • The best training environment is often the open and the first organized pullbacks later in the morning.	• Build a pre-market thesis: likely support, likely resistance, and the scenario that would create an opening drive or first pullback. • Segment your trades by time of day to see when your edge actually appears. • Compare a stock's behavior to the index, sector, and peer group.	• Adapt between news momentum, squeeze behavior, mean reversion, and trend continuation instead of forcing one script. • Use liquidity, route quality, and spread behavior to decide whether you can actually express your thesis. • Know when market regime invalidates your usual setup even if the chart "looks right."

Intraday Opportunity Map

Quality changes by time of day. Aggression should too.



What to look for before the bell

- Catalyst: earnings, guidance, analyst action, macro release, sector news, legal or regulatory event, or an extreme relative-strength theme.
- Participation: pre-market volume, relative volume, and evidence that the instrument is attracting real interest instead of dead liquidity.
- Tradability: liquid enough to enter and exit, spread narrow enough to respect your stop, and enough range to justify the trade after costs.
- Levels: prior day high/low, pre-market high/low, opening range, daily levels, VWAP, and notable intraday consolidation areas.
- Regime: trending index, broad chop, gap-up squeeze environment, weak tape, or event risk around scheduled data.

Time-of-day framework

- Opening drive: most opportunity and most noise. Favor obvious stocks in play, tight rules, and clean execution.
- Mid-morning: often the best place to practice the first constructive pullback, continuation hold, or orderly breakout retest.

- Midday: quality frequently deteriorates. Reduce size, reduce expectations, or skip entirely if the tape becomes thin and rotational.
- Power hour: good for re-acceleration, squeeze continuation, positioning into the close, and renewed index-driven momentum.

Go / no-go filters

Go	No-go
Clear catalyst, clean level, tight spread, and visible participation.	No catalyst, sloppy structure, thin volume, or spread too wide for the stop.
A stock behaving better or worse than the market in a way that supports the thesis.	A stock moving randomly with the market and showing no distinct edge.
A setup that should resolve quickly if correct.	A chart that needs “room to breathe” far beyond the intended scalp stop.
A time of day where your journal shows positive expectancy.	A time of day where you keep forcing action out of boredom.

4. The 7-Step Scalping Loop

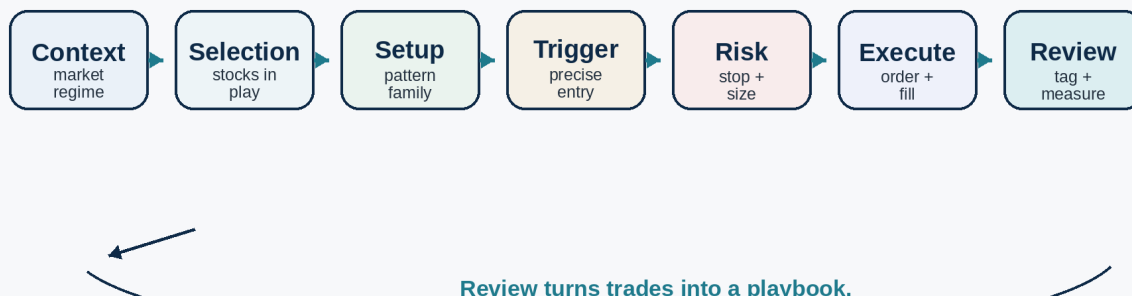
TL;DR. The loop is simple: context → selection → setup → trigger → risk → execute → review. The trade quality is only as strong as its weakest step. A trader improves fastest by making each step explicit and reviewable.

Level lens

Beginner	Intermediate	Expert
• Use the loop as a spoken checklist before every trade until it feels automatic. • Write your answer to each step in the journal, even if it is only one sentence. • If you skip review, you restart from zero every day.	• Diagnose losses by step. Was it context, selection, trigger, or management? • Start measuring which step creates most of your variance and mistakes. • Refine one step at a time so you can actually attribute improvement.	• Compress the loop in real time without making it vague. • Use the loop to coordinate multiple instruments, order routes, or partial positions without losing structure. • Review both winners and losers with the same skepticism.

The 7-Step Scalping Loop

A trade becomes professional when each step is explicit enough to review.



Step-by-step questions

Step	Key question	Typical evidence
Context	What environment am I trading inside?	Market trend, event calendar, volatility regime, time of day.
Selection	Why this instrument right now?	Catalyst, relative volume, liquidity, spread, relative strength.
Setup	What pattern family is present?	Reversion, breakout, or continuation structure on chart/tape.
Trigger	What event gets me in?	Reclaim, break, first hold, bid support, trendline resume.
Risk	Where am I wrong and how much can I lose?	Stop level, dollar risk, share size, max daily loss context.
Execute	How should I express the idea?	Limit vs market order, passive vs aggressive fill, first scale plan.
Review	What did this teach me?	Screenshot tags, notes, metrics, mistake count, expectancy bucket.

Common loop failures

- Good setup, bad selection: the chart looked fine, but the spread or liquidity made the stop unrealistic.
- Good selection, bad trigger: the instrument was in play, but entry was late and the trader paid for heat and slippage.
- Good entry, bad risk: size was too large for the stop, so normal noise created emotional interference.
- Good plan, bad review: the trader made a quality trade but failed to capture it into the playbook, so the lesson was lost.

5. Setup Map and Taxonomy

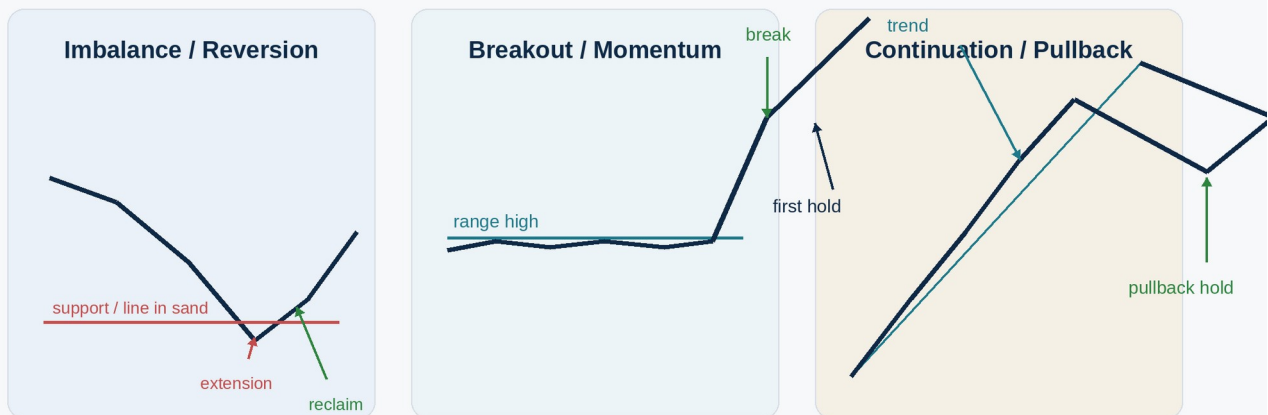
TL;DR. Most clean scalp ideas fit one of three families: imbalance / reversion, breakout / momentum, and continuation / pullback. Naming the family keeps you from mixing entry logic, stop logic, and exit logic.

Level lens

Beginner	Intermediate	Expert
- Pick one family and one trigger inside it. Master that before adding anything else. - Use the family name in your journal and screenshots so review stays clean. - Avoid hybrid trades where half the thesis is a breakout and the other half is a fade.	- Notice which family fits each market regime and time of day best. - Track whether your best expectancy comes from first entries, re-entries, or confirmations. - Build a short checklist for each family so entry logic is standardized.	- Trade the family that best matches the actual order-flow condition, not the one you hoped would appear. - Use different management rules by family. Reversion trades often pay sooner; trend continuation can justify runners. - Know when families overlap and when that overlap is real versus story-telling.

Three Core Setup Families

Most clean scalp ideas fit one of these structures. Label the family before you trade it.



Setup selection matrix

Family	When it fits best	Typical trigger	What invalidates it
Imbalance / reversion	Short-term extension into a known level with evidence of exhaustion.	Reclaim, failed breakdown, failed breakout, reversal bar.	Extension keeps expanding and the extreme does not fail.

Family	When it fits best	Typical trigger	What invalidates it
Breakout / momentum	Tight range with catalyst, participation, and a level that can release urgency.	Break of range, opening range break, first hold outside range.	Immediate return into the base or failure to attract follow-through.
Continuation / pullback	Established trend pauses constructively and sets up for re-acceleration.	Hold of pullback level, flag break, trendline resume, VWAP hold.	Pullback changes the trend character or breaks the key structure.

Naming discipline

- Before entry, describe the trade in one sentence: “Long continuation on first pullback above VWAP” or “Short imbalance fade after failed breakout into resistance.”
- The family name should predict how the trade should behave if correct: reversion pays fast, breakout expands, continuation resumes.
- If you cannot name the family cleanly, you usually do not have a clean trade.

6. Setup Family #1: Imbalance / Reversion

TL;DR. An imbalance scalp fades a short-term extension only when the move runs into a meaningful level and the pressure begins to fail. The best version is not blind fading; it is fading excess once the market shows you that the excess is losing force.

Level lens

Beginner	Intermediate	Expert
• Fade only obvious extensions into clean, pre-marked support or resistance. • Wait for evidence of stabilization: a hold, reclaim, or clear failure to continue lower or higher. • Take quick partials. Snapbacks often pay fast and then become messy.	• Combine extension context with VWAP, prior day levels, or opening range extremes. • Separate true exhaustion from strong trend continuation; not every violent move is overdone. • Track whether your best reversion trades happen against a weak market, inside a broad range, or after a liquidity flush.	• Read the difference between forced flow and informed trend pressure. • Use tape and spread behavior to spot when the aggressive side is no longer getting paid for urgency. • Avoid fighting real news trends too early just because a move “feels extended.”

Chart structure

- Price extends quickly into a meaningful level such as prior support, prior resistance, pre-market low/high, VWAP displacement, or a widely watched intraday zone.
- The move becomes stretched relative to the last several bars and begins to lose efficiency: less follow-through, smaller real bodies, or repeated failure to keep printing new extremes.
- A reclaim, failed breakdown, failed breakout, or strong reversal bar gives the trader a specific line in the sand for risk.

Entry, stop, and management

Component	Practical framework
Entry trigger	Reclaim of the level, reversal bar close, bid support on tape, or failure to continue through the extreme.
Stop	Beyond the failed extreme or beyond the level that invalidates the idea.
First target	The first snapback into VWAP, prior micro-consolidation, or 1R area.
What to avoid	Blind catching of falling knives, fading strong opening momentum without evidence, or averaging into failure.

Training drill

- Replay twenty examples and tag them as “clean exhaustion” or “trend still healthy.”
- Journal whether the level was known before the trade or discovered after the fact. Only preplanned levels count as process quality.
- Measure average hold time and slippage, because reversion edges can disappear quickly when the trader is late.

7. Setup Family #2: Breakout / Momentum

TL;DR. A breakout scalp attacks the moment price escapes a range and participation expands. The best entries are early enough to capture the burst but selective enough to avoid chasing the most crowded extension.

Level lens

Beginner	Intermediate	Expert
• Focus on opening range breaks, pre-market high breaks, or obvious intraday bases with tight structure. • Use the first clean break or first hold, not the third extended candle after everyone notices it. • Keep stops tied to the range or first hold level, not to hope.	• Differentiate between a true expansion and a low-volume fakeout. • Study whether your best breakouts come directly through highs or after a small pre-break hold. • Track how quickly you should partial: many breakout scalps pay fast or fail fast.	• Combine tape speed, queue thinning, and spread behavior to decide whether to hit the breakout aggressively or wait for a hold. • Use market context to judge whether the breakout can trend or only produce a short burst. • Manage inventory into liquidity pockets instead of forcing static exits in dynamic momentum.

What a strong breakout usually has

- A visible range, consolidation, or opening base that many participants can see.
- A reason for urgency: catalyst, relative strength, sector tailwind, squeeze potential, or improving tape speed.
- An expansion in prints, volume, and movement once the level is challenged.
- Follow-through or a constructive first hold after the initial pop.

Execution ideas

Approach	When it fits	Main risk
Break on touch	Very tight range, strong catalyst, obvious participation, and fast tape.	High chance of false break if the level is crowded or liquidity is thin.
Break plus first hold	Trader wants confirmation that the move can stay outside the range.	May miss part of the burst or be too late if momentum is one-and-done.
Starter + add	Experienced trader wants to enter small before confirmation and build only if the hold works.	Can become overcomplicated if sizing and add rules are vague.

Failure signs

- The instrument breaks but instantly trades back into the base and cannot reclaim.
- Tape speeds up on the break but stalls immediately with no new buyers willing to continue.
- The broader market turns against the move at the same moment and the symbol loses relative strength.
- The trader chased a stretched candle instead of the actual breakout level.

8. Setup Family #3: Continuation / Pullback

TL;DR. Continuation scalps go with an already-established trend. The key is not to buy any dip or short any bounce, but to wait for a constructive pause and evidence that the dominant side is reasserting control.

Level lens

Beginner	Intermediate	Expert
• This is often the cleanest training setup because the trend provides direction and the pullback provides structure. • Trade the first or second high-quality pullback, not the late-stage exhausted version. • Use trend structure, VWAP, and prior micro-support/resistance to define risk.	• Notice the difference between a healthy pullback and a reversal attempt. • Add only after the trend proves itself again via a hold or new consolidation. • Measure whether your edge is strongest on first pullbacks, flag breaks, or trendline resumes.	• Blend nested timeframes: daily trend, intraday trend, and micro pullback structure. • Use order-flow clues such as held bids, absorbing offers, or failed downside continuation during retracements. • Scale with discipline; the best continuation trades often tempt overconfidence.

Trend criteria

- For longs: higher highs and higher lows, constructive action above VWAP or another relevant control level, and relative strength versus market or sector.
- For shorts: lower highs and lower lows, inability to reclaim VWAP or supply zone, and consistent selling pressure on bounces.
- The pullback should reduce urgency temporarily without fully changing the character of the trend.

High-quality pullback cues

- Retracement occurs on lower relative aggression than the prior impulse.
- A known level holds: trendline, moving average, VWAP, prior breakout area, or prior micro higher low / lower high.
- The dominant side reappears through a reclaim, a flag break, or a failure of the pullback to extend.

Trade plan example

Piece of the trade	Continuation framework
Entry	Buy or short when the pullback holds and trend resumes through a precise trigger.
Stop	Below the pullback hold for longs or above the pullback hold for shorts.
Initial target	Retest of prior high/low, 1R, or next liquidity pocket.
Stretch target	New highs/lows if the instrument keeps trending cleanly and market context supports staying in.

9. Tape Reading, Level II, and Order Execution

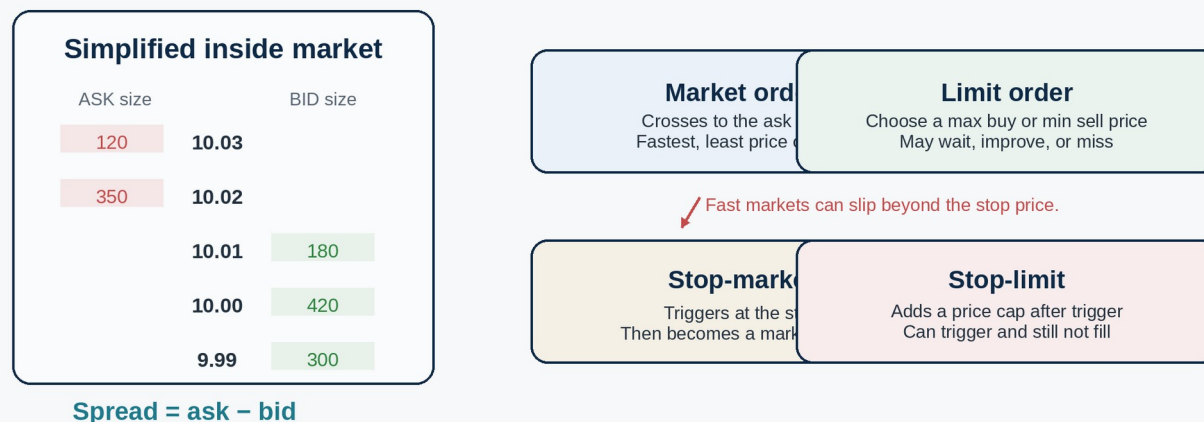
TL;DR. Execution is part of the edge. You can have the right idea and still lose if spread, order choice, or slippage make the trade structurally unsound. Beginners should start chart first, then use tape and Level II as confirmation, not as noise generators.

Level lens

Beginner	Intermediate	Expert
• Prioritize clean charts and liquid symbols before trying to make every decision from the tape. • Use limit orders for planned entries when possible and understand exactly where your stop sits. • Do not trade a symbol whose spread is larger than a meaningful fraction of your stop.	• Use tape speed, bid/ask holds, and refusal to continue as supporting evidence for the trigger. • Track your average slippage by setup, time of day, and order type. • Differentiate between poor execution and poor trade selection in review.	• Choose between aggressive liquidity taking and passive liquidity providing based on urgency and queue quality. • Recognize hidden size, refreshing quotes, and liquidity holes without overreacting to every print. • Treat order routing and exit mechanics as optimization problems, not as heroics.

Execution Mechanics: Spread, Order Choice, and Slippage

The idea is only half the trade. The fill determines the rest.



What tape and Level II can tell you

- Whether a level is being defended or abandoned.
- Whether the spread is stable, widening, or signaling deteriorating liquidity.
- Whether a breakout is accelerating through the level or being absorbed by resting supply/demand.
- Whether a pullback is orderly or disorderly.
- Whether urgency is increasing enough to justify aggressive execution.

Order-type framework

Order type	Use case	Key hazard
Market order	Highest urgency when getting in or out matters more than price precision.	Can fill materially worse than expected in fast markets.
Limit order	Trader wants price control on entry or exit.	May not fill at all, or may partially fill and leave the trade unmanaged.
Stop-market	Hard protective exit that prioritizes execution after the stop is reached.	Becomes a market order and can slip far past the stop in volatility.
Stop-limit	Trader wants to cap the price after the trigger fires.	Can trigger and fail to execute, leaving the position exposed.

Execution drills

- Watch one liquid instrument without trading for twenty minutes and narrate what the tape is doing at key levels.
- Review every stop fill: was the slippage caused by the market, the instrument, or your late decision?
- Note which setups require aggressive entries and which allow patient price improvement.

Practical warning

Note. Stop orders are not magic. A stop-market prioritizes execution, not exact price; a stop-limit prioritizes price

control more, but may leave you without an exit. Verify how your broker handles each order type.

10. Risk Management and Position Sizing

TL;DR. Risk management is the operating system of the trader. Define a daily max loss, assign a risk budget to the setup quality, calculate position size from stop distance, and measure outcomes in R so skill is not confused with size.

Level lens

Beginner	Intermediate	Expert
- Keep size so small that a stopped trade feels boring, not dramatic. - Use one fixed max risk per trade until your execution is stable. - Your first win condition is zero catastrophic mistakes.	- Introduce risk tiers for A+, B, and feeler trades instead of sizing all ideas equally. - Measure expectancy in R and track maximum adverse excursion, not just win rate. - Cut off the day when process deteriorates, not only when P&L does.	- Vary size by setup quality, liquidity, regime, and correlation without making sizing discretionary and emotional. - Protect concentration risk when multiple symbols express the same factor or sector theme. - Know when not taking a trade is the highest-quality risk decision.

Risk Flow: From Daily Loss Limit to Share Size

Size should fall out of the math, not out of emotion.



Example Daily max loss = \$300 A-setup risk = 25% = \$75 Stop distance = \$0.15/share Max size = 500 shares

If target = \$0.30/share, gross reward $\approx$ 2R before spread, slippage, fees, and mistakes.

Core architecture

- Daily max loss: the amount that ends the day regardless of opinions about the next setup.
- Per-trade max risk: the typical dollars allowed on a standard setup.
- Tiering: smaller risk for feelers or lower-quality conditions, larger risk only for your best verified trades.

- Size formula: share size = dollar risk ÷ stop distance per share.
- R-multiple thinking: if you risk \$50 and make \$100, that is +2R regardless of symbol or share count.

Sizing table

Risk per trade	Stop distance	Approx. max share size	What this teaches
\$25	\$0.10	250 shares	Small risk can still generate useful reps and meaningful review data.
\$50	\$0.20	250 shares	Wider stop does not automatically mean smaller opportunity; it means smaller size.
\$75	\$0.15	500 shares	Size follows the math, not confidence.
\$100	\$0.50	200 shares	Expensive or volatile symbols demand either smaller size or a different instrument.

Professional risk habits

- Pre-enter the stop or know exactly how it will be sent.
- Do not widen the stop after entry unless the trade plan explicitly allowed that before entry.
- Avoid adding to losers unless the setup was designed as a staged entry and the total risk remains predefined.
- Judge the trade first by process quality, then by P&L.

11. Trade Management and Exit Logic

TL;DR. A scalp should either work quickly, pay partials at planned liquidity, or be cut when invalidated. Good exits are consistent with the setup family; bad exits usually come from hope, fear, or the impulse to turn a scalp into a swing.

Level lens

Beginner	Intermediate	Expert
• Use simple, predefined exits: failure exit, first target, and final target or stop-out. • Take partials sooner rather than later until you have evidence that holding longer improves expectancy. • Do not move the stop farther away just because price is close to it.	• Study where your best trades justify holding beyond the first target and where quick exits improve your results. • Separate management rules by setup family rather than using one exit pattern for everything. • Use stop-to-break-even only when it improves results, not because it feels safe.	• Think in terms of inventory management: how much size should remain for the next liquidity pocket? • Use market context to decide whether to press, trail, or flatten into resistance/support. • Know the difference between healthy noise and real deterioration.

A practical exit ladder

Exit type	When to use it	Risk if misused
Failure exit	Price breaks the thesis immediately after entry.	Holding through invalidation converts a professional trade into hope.
First scale / partial	The trade reaches the first obvious liquidity pocket, 1R, VWAP, or prior micro level.	Taking it too early on trend continuation can cap expectancy.
Stop to break-even	After a meaningful move in your favor and only if testing shows it improves results.	Moving to break-even too early can cut off otherwise valid trades.
Runner / final piece	Only for setups that statistically justify extended holds.	Leaving too much for the runner can turn a winner into frustration.

Management guidelines by setup family

- Imbalance / reversion: expect fast snapback behavior; scale sooner because the edge may decay quickly.
- Breakout / momentum: if the move fails to expand or hold above the level, exit quickly; if it does expand, consider leaving a smaller runner.
- Continuation / pullback: give the trade enough room to reassert trend behavior, but exit if the pullback structure clearly breaks.

Common exit mistakes

- Holding a scalp after the original line-in-the-sand has already failed.
- Selling winners at random because the unrealized P&L feels “too good.”
- Using the same profit target on all setups regardless of volatility, spread, or context.
- Letting a good trade become overmanaged through too many manual interventions.

12. Psychology, Process, and Bias Control

TL;DR. Psychology in scalping is mostly process design. Good rules reduce emotional load before the trade starts. The fastest way to improve psychology is not positive thinking; it is tighter preparation, smaller size, and better review.

Level lens

Beginner	Intermediate	Expert
• The biggest psychological edge is to trade small enough that you can still think clearly. • Focus on process goals such as “took only A setups” or “honored every stop,” not on daily dollar targets. • A skipped bad trade is a win.	• Track your recurring emotional mistakes: chasing, revenge trading, fear exits, overconfidence after wins. • Build pre-commitment rules for those mistakes before the open. • Use brief resets after losses instead of trying to “earn it back” immediately.	• Protect state management as seriously as capital management. • Recognize when your edge is gone for the day because the market changed, not because you need more effort. • Use data to override ego: expectancy beats anecdotes.

Four high-frequency bias traps

Bias trap	How it shows up	Countermeasure
FOMO / late chase	Entering after the clean entry is gone because price is already moving.	Trade only predefined levels and triggers; if missed, document it and move on.
Revenge trading	Trying to recover a loss immediately with lower-quality setups.	Mandatory pause, screenshot review, and reduced size after a rule-break loss.
Anchoring	Staying attached to a price or prior thesis even after new evidence appears.	Re-state the current thesis out loud before each add, hold, or exit decision.
Outcome bias	Judging the trade only by P&L instead of whether the process was good.	Grade execution, risk, and review separately from profit or loss.

Daily state-management habits

- Sleep, hydration, and pre-market calm matter more to scalping than most beginners realize.
- A short written plan before the open reduces impulsive intraday improvisation.
- Use a hard cap on the number of low-conviction trades you will allow yourself.
- When emotional state deteriorates, reduce size first; if needed, stop entirely.

Fast recovery protocol after a mistake

1. Flatten if the mistake is still live.
2. Label the mistake accurately: chase, size error, late stop, boredom trade, or bias bleed-through.
3. Take a screenshot and write one sentence about what rule would have prevented it.

4. Reduce size or stop for the session depending on severity.
5. Review the mistake again after the close when emotion is low.

13. Playbook Building, Journaling, and Metrics

TL;DR. Review turns screen time into skill. A playbook is a collection of named setups with evidence, rules, examples, and performance stats. Without systematic review, the trader keeps paying tuition for lessons already offered by the market.

Level lens

Beginner	Intermediate	Expert
• Capture every trade with a screenshot, setup tag, stop, target, and one-sentence note. • Do not overcomplicate categories; start with a small number of broad families. • Review on the same day while the context is still fresh.	• Standardize performance in R so symbols and share size do not distort the analysis. • Track which setups work best by time of day, context, and market regime. • Separate rule-following losses from mistake losses.	• Use metrics to refine aggression, selectivity, and hold quality, not just entry quality. • Maintain a living playbook with “A+ examples” and “do not trade this” examples. • Audit expectancy drift: has the market changed or has your execution changed?

What every trade record should capture

- Date, instrument, direction, time of entry and exit.
- Setup family and precise trigger name.
- Entry price, stop price, position size, and initial dollar risk.
- Exit prices, partial structure, net result in dollars and in R.
- Screenshot before or at entry, and screenshot after exit if the lesson changed.
- One sentence each for thesis, execution quality, and what to improve.

Core metrics table

Metric	Why it matters	Simple interpretation
Win rate	Tells you how often the setup works.	High win rate is useful only when paired with controlled losses and healthy average win size.
Average winner / average loser	Shows pay-off structure.	A lower win rate can still work if the average winner is large enough.
Expectancy in R	Most portable summary of strategy quality.	Positive expectancy means the setup is worth refining rather than guessing from memory.
MAE / MFE	Maximum adverse / favorable excursion.	Helps refine stop placement and hold quality.

Metric	Why it matters	Simple interpretation
Mistake rate	Separates process problems from market outcomes.	Improvement often comes more from fewer mistakes than from finding new setups.

Weekly review ritual

6. Sort trades by setup family, not by ticker.
7. Mark the top three trades and bottom three trades by process quality.
8. Write one keep rule, one cut rule, and one focus drill for the next week.
9. Update your “best examples” folder so you can study clean patterns before the open.
10. Look for one edge to press and one weakness to constrain — never five new goals at once.

14. 30 / 60 / 90-Day Development Roadmap

TL;DR. Progression should be earned. The beginner should master one setup and one risk model; the intermediate trader should add context and review depth; the expert should specialize, optimize execution, and scale only when the data justifies it.

Level lens

Beginner	Intermediate	Expert
- The first month is about language, repetition, and risk control. - Your goal is not large profits; it is clean data and clean habits. - Repeat one setup enough times to know what “normal” looks like.	- Add one variable at a time: context, time-of-day filter, or hold refinement. - Use data to decide what to keep and what to cut. - Scale only after the process is stable.	- Specialize in the combinations of instrument, regime, and setup where your expectancy is strongest. - Treat execution and trade management as optimization layers on top of an already working edge. - Protect adaptability; edge erosion often starts when experts become rigid.

30 / 60 / 90-Day Development Roadmap

Progression should be earned by process quality first and size second.



Promotion rule: do not add size and complexity at the same time.

Milestones by phase

Phase	Primary goal	Concrete milestones
Days 1–30	Build a controlled baseline.	• One setup family only • Very small fixed risk • 50 reviewed examples • Zero catastrophic mistakes
Days 31–60	Refine context and consistency.	• Add one context filter • Track expectancy in R • Reduce mistake rate • Start comparing time-of-day buckets
Days 61–90	Specialize and selectively scale.	• Narrow to best market and best setup • Build alerts / watchlist routine • Document A+ examples • Increase size only if data supports it

Promotion rules

- Do not add size and complexity at the same time.
- Do not graduate from a setup because you are bored; graduate because you have evidence.
- If performance degrades after scaling, reduce size first and diagnose before changing everything else.

15. Daily Checklists and Kill-Switches

TL;DR. Checklists are not bureaucratic; they are psychological safety rails. A kill-switch protects both capital and decision quality when the market or the trader is no longer in a productive state.

Level lens

Beginner	Intermediate	Expert
• Use written checklists until the process becomes automatic. • A kill-switch is a professional rule, not a personal failure. • If you break a hard rule, the safest move is usually to stop or cut size drastically.	• Customize the checklist to your setup family and market. • Include behavioral kill-switches, not just P&L limits. • Record which checklist items actually predicted better days.	• Use state-based kill-switches: fatigue, distraction, hesitation, or compulsive clicking can matter more than P&L. • Know the market conditions that make your edge structurally weak. • Preserve emotional capital for your next high-quality window.

Pre-market checklist

- What are the top catalysts and which symbols are truly in play?
- What is the broader market doing, and are there scheduled events that can change the tape?
- What are the key levels: pre-market high/low, prior day high/low, VWAP-related scenarios, and opening range plan?
- Which setup family am I primarily looking for today?
- What is my max daily loss and standard per-trade risk?

Live-trading checklist

- Is the spread and liquidity acceptable for this stop distance?
- Did I identify the setup family and exact trigger before entry?
- Is size correct for the defined stop?
- Do I know where the first scale, failure exit, and “prove me wrong” point are?
- Am I trading because the setup is present, or because I want action?

Hard stop protocol

Kill-switch	Typical trigger	Required action
Daily max loss hit	P&L reaches predefined daily limit.	Stop trading for the day. Review only after the close.
Two major rule breaks	Examples: oversize, moving stop, revenge trade.	Immediately reduce to micro size or stop entirely.
Market quality collapse	Spread blows out, halts, headline chaos, or abnormal liquidity.	Stand down until conditions normalize.
Mental-state deterioration	Compulsive clicking, anger, confusion, fatigue, or “I need it back” thoughts.	Pause, breathe, step away, then decide whether to return at reduced size.

No-trade conditions

- No clear catalyst or no clear level.
- Spread too wide for the intended stop distance.
- Midday boredom with no genuine setup quality.
- Trying to trade a market condition you do not currently have a playbook for.

16. Glossary and Selected Public References

TL;DR. Use this section as a quick decoder ring. The glossary keeps review language consistent; the reference list points to public materials that help verify order types, margin rules, and professional review habits.

Level lens

Beginner	Intermediate	Expert
- Learn the language until you can describe your trades precisely. - Use the references to verify broker and regulatory details before you go live. - Build fluency in risk terms before chasing complexity.	- Standardized vocabulary makes journaling and feedback much cleaner. - Cross-check your assumptions about stops, margin, and order types with public sources. - Use the glossary to reduce ambiguity in playbook tags.	- Precise language speeds coaching, review, and execution. - Keep your operational knowledge current because broker and regulatory details can change. - Use references for verification, not as a substitute for your own stats.

Glossary

Term	Practical meaning
Bid / ask	The highest displayed buy price and lowest displayed sell price in the market.
Spread	The gap between the bid and the ask; effectively a trading cost when you cross it.
Liquidity	How easily you can enter or exit without moving price materially.
VWAP	Volume-weighted average price; often used as an intraday reference or control level.
Relative volume	How active today's trading is versus a normal baseline for the instrument.
Catalyst	News or information that can create fresh participation and urgency.
R-multiple	Result expressed relative to initial risk. +2R means you made twice what you risked.
Slippage	Difference between expected price and actual execution price.
MAE / MFE	Maximum adverse / favorable excursion after entry. Useful for refining stops and holds.
Line in the sand	The exact level that invalidates the setup if broken.
Stocks in play / instruments in play	Symbols with a reason, range, participation, and tradable structure.

Term	Practical meaning
Tape / Time & sales	The stream of executed trades used to read short-term order flow.

Selected public references

Source	What it helps verify or deepen
SMB Training — “What is Scalping in Trading” (2023)	Difference between chart-based and tape-based scalping; why scalping is defined as a move expected to resolve within seconds or minutes.
SMB Training — “Stock Trading: The Definitive Guide for Beginners” (2023)	Plain-English definitions of bid, ask, spread, liquidity, stop orders, stop-limit orders, and the basic size formula.
SMB Training — “Evaluating Your Trading Results” (2011)	Why traders should standardize results by risk and organize trades into manageable playbook categories.
SMB Training — “How to Conduct a Professional Review of Your Trading” (2020)	A professional review process and why post-trade analysis matters.
SMB Training — “Super Stocks In Play” (2013)	A practical concept for finding instruments with meaningful catalysts and participation before the open.
Investor.gov — “Stop, Stop-Limit, and Trailing Stop Orders”	Basic regulatory guidance on how stop and stop-limit orders behave.
Investor.gov — “Understanding Order Types”	Core definitions of market, limit, and stop-limit order behavior.
FINRA — “Order Types” and Rule 5350	Reference point for stop order and stop-limit order mechanics.
SEC — “Margin Rules for Day Trading” / margin-account bulletins	Useful for verifying broker and jurisdiction-specific day-trading margin requirements before going live.

Final note

Note. This framework is meant to help you study, simulate, review, and trade more systematically. Treat every live-trading rule as broker-specific and jurisdiction-specific until you verify it yourself.